Revision Date:
07/01/2022

Background:
Unearned income is any income coming from a gain or benefit and not classified as earned or excluded income.

Purpose:
The purpose of this section is to define unearned income which must be included in the CalFresh (CF) budget calculation. This section is being revised to include the treatment of cryptocurrency for CF.

Policy:
Unearned income detailed below must be counted in the CF budget calculation. Income, which is garnished for a household (HH) expense, will be counted. CalWORKs (CW) and General Relief (GR) grants or other public assistance programs reduced due to failure to comply will be counted.

Type	Description
Assistance Payments	CW, GR, Refugee Cash Assistance, or other public assistance programs.
Adoption Assistance Program (AAP)	Support payments provided to adoptive parents. Any portion of the adoption payment that is earmarked for reimbursement will be excluded. Refer to CFPG 63-224 for a list of allowable exclusions.
Annuities	A form of insurance or investment entitling the investor to a series of annual sums.
Child Support or Alimony	Support payments for children or spouses made directly to the HH from non HH members or received directly from the Local Child Support Agency. Include the child support disregard applied to CWs recipients. Refer to CFPG 63-224 for additional child support exclusion guidance.
Cryptocurrency	A digital or virtual currency. Cryptocurrency is a countable non-liquid resource. **If the cryptocurrency is… / then it is considered…** a one-time conversion, → a non-recurring lump sum payment and excluded as income. Refer to 63-224. converted to cash on a recurring basis, → unearned income.
Deemed Income	Income received from a sponsor paid to a sponsored noncitizen. Refer to CFPG 63-157 and 63-246 for additional information.
Disability Insurance Benefits	Privately purchased disability insurance benefits received by the HH.
Employment Development Department (EDD) Benefits	Unemployment Insurance Benefits (UIB), State Disability Insurance (SDI), California Training Benefits (CTB), or Paid Family Leave (PFL). Refer to CFPG 63-224 and the UIB-SDI Reductions Determination Table for UIB deductions or offsets.
Foster Care Payments or Approved Relative Care (ARC)	Support payment received for the care of foster youth, including Non-Minor Dependent (NMD). This includes ARC payments paid to relatives approved to care for minor relatives. Refer to CFPG 63-224 for income exclusions.
Gift Cards	Reasonably anticipated prepaid gift cards such as American Express, MasterCard, or Visa. Establishment-specific gift cards are excluded as income and resources.
Lottery Winnings	HH winnings in which payments are received in lump sum or installments. Refer to CFPG 63-283 for additional information on lottery winnings.

Payments Considered Gain or Benefit	All other direct money payment from any source, which can be construed to be a gain or benefit. This includes payments from government-sponsored programs, dividends, interest, and royalties.
Pension or Retirement Benefits	Regularly paid benefits received from an employer to an employee in retirement.
Refugee Benefits	Reception and Placement (R&P) Income/Resettlement Agency (RA) also known as Voluntary Agency (VOLAG) funds may be considered unearned income depending on how they are disbursed or who provides them. Refer to CFPG 63-224 for a detailed listing of allowable exclusions.
Reimbursements	Reimbursements that exceed total expenses or which are intended to cover living expenses, such as food, rent, and clothing. Refer to CFPG 63-224 for a list of excluded reimbursements.
Resident Opportunity and Self Sufficiency (ROSS) Grants	A program for public housing residents that provides supportive payments for participating in resident activities that assist in becoming economically self-sufficient.
Social Security Benefits	Supplemental Security Income/State Supplementary Payment (SSI/SSP) including retirement, disability, survivors, and supplemental benefits received from the Social Security Administration (SSA).
Strikers' Benefits	Benefits provided to workers on strike, the portion received as compensation for picketing is earned income.
Trust Income	Income and dividends withdrawn from a trust, will be counted in the month they become available to the HH.
Veterans Benefits	Veteran/Survivors Pension, Aid and Attendance (AA) benefits, and Educational Assistance received from the Veterans' Administration (VA). **Note:** Educational Assistance must be prorated over the period the benefit is expected to cover and educational expenses must be excluded. Refer to CFPG 63-224 for allowable exclusions.
Worker's Compensation	Wage compensation benefits provided by the employer in the event of an injury.
Rental Income	Income derived from rental property in which a HH member is **not** actively engaged in the management of the property at least an average of 20 hours a week. Refer to CFPG 63-222 for guidance when the HH is engaged in the property management.
Educational Assistance	Non-excluded scholarships, educational grants, or fellowships. Refer to CFPG 63-224 for a list of excluded educational assistance. **Note:** Educational Assistance must be prorated over the period the benefit is expected to cover and educational expenses must be excluded. Refer to CFPG 63-224 for allowable exclusions.

References:
ACL 21-137, ACIN I-68-17, I-58-08, I-18-07, I-52-06, I-91-06, I-16-05, I-34-04
State Policy Interpretation # 21-45 Cryptocurrency

Sunset Date:
This policy will be reviewed for continuance on or by 07/31/2025.

Approval for Release:

7-1-22

Rick Wanne, Director
Self-Sufficiency Services